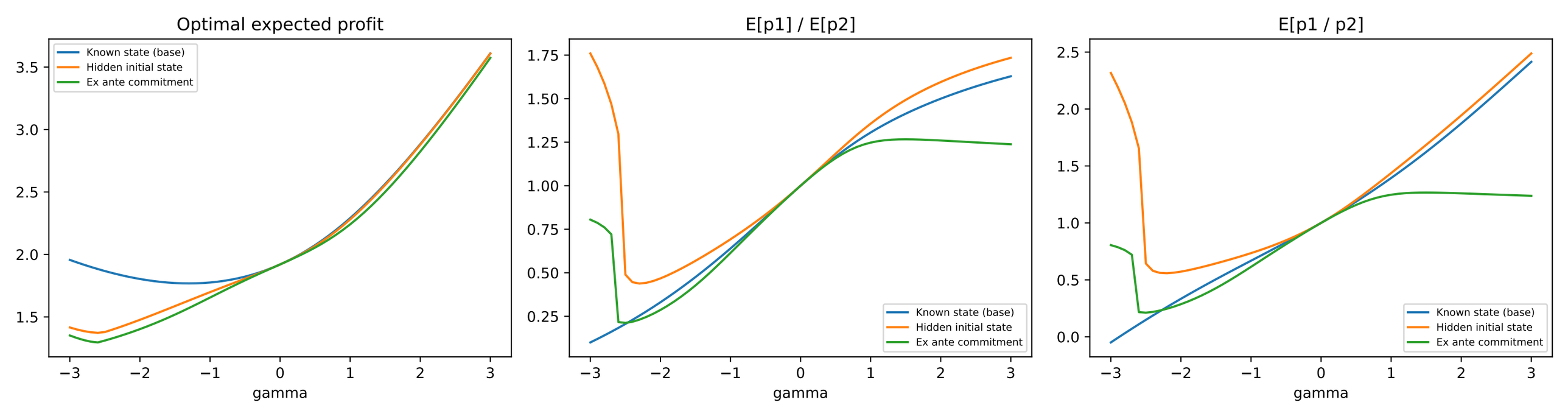
Optimal expected profit
Known state (base)
Hidden initial state
Ex ante commitment
3.5
3.0
2.5
2.0
1.5
−3
−2
−1
0
1
2
3
gamma
E[p1] / E[p2]
1.75
1.50
1.25
1.00
0.75
0.50
0.25
Known state (base)
Hidden initial state
Ex ante commitment
−3
−2
−1
0
1
2
3
gamma
E[p1 / p2]
2.5
2.0
1.5
1.0
0.5
0.0
Known state (base)
Hidden initial state
Ex ante commitment
−3
−2
−1
0
1
2
3
gamma